InspereX LLC

(SEC I.D. No. 8-52081)

Financial Statements, Supplemental Schedules, and Exemption Report as of and for the Year Ended December 31, 2021 and Accompanying Reports of Independent Registered Public Accounting Firm

This report is deemed **CONFIDENTIAL** in accordance with Rule 17a-5(e)(3) under the Securities Exchange Act of 1934. A Statement of Financial Condition and Report of Independent Registered Public Accounting Firm, bound separately, has been filed with the Securities and Exchange Commission simultaneously herewith as a Public Documen

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

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FORM X-17A-5
PART III

FACING PAGE

Information Required Pursuant to Rules 17a-5, 17a-12, and 18a-7 under the Securities Exchange Act of 1934

FILING FOR THE PERIOD BEGINNING 01/01/2021 (MM/DD/YY) AND ENDING 12/31/2021 (MM/DD/YY)

A. REGISTRANT IDENTIFICATION

NAME OF FIRM: InspereX LLC

TYPE OF REGISTRANT (check all applicable boxes):

☒ Broker-dealer ☐ Security-based swap dealer ☐ Major security-based swap participant

☐ Check here if respondent is also an OTC derivatives dealer

ADDRESS OF PRINCIPAL PLACE OF BUSINESS: (Do not use a P.O. box no.)

200 South Wacker Drive, Suite 3400
(No. and Street)

Chicago	IL	60606
(City)	(State)	(Zip Code)

PERSON TO CONTACT WITH REGARD TO THIS FILING

Thomas Belka	312-379-3722	tomb@insperex.com
(Name)	(Area Code – Telephone Number)	(Email Address)

B. ACCOUNTANT IDENTIFICATION

INDEPENDENT PUBLIC ACCOUNTANT whose reports are contained in this filing*

PricewaterhouseCoopers LLP
(Name – if individual, state last, first, and middle name)

1 North Wacker Drive	Chicago	IL	60606
(Address)	(City)	(State)	(Zip Code)

10/20/2003	238
(Date of Registration with PCAOB)(if applicable)	(PCAOB Registration Number, if applicable)

FOR OFFICIAL USE ONLY

* Claims for exemption from the requirement that the annual reports be covered by the reports of an independent public accountant must be supported by a statement of facts and circumstances relied on as the basis of the exemption. See 17 CFR 240.17a-5(e)(1)(ii), if applicable.

Persons who are to respond to the collection of information contained in this form are not required to respond unless the form displays a currently valid OMB control number.

OATH OR AFFIRMATION

I, Thomas Belka, swear (or affirm) that, to the best of my knowledge and belief, the financial report pertaining to the firm of InspereX LLC, as of 12/31, 2021, is true and correct. I further swear (or affirm) that neither the company nor any partner, officer, director, or equivalent person, as the case may be, has any proprietary interest in any account classified solely as that of a customer.

Signature:

Title:
CFO

OFFICIAL SEAL
PATRICIA E ALLEN
NOTARY PUBLIC - STATE OF ILLINOIS
MY COMMISSION EXPIRES:04/19/22

Notary Public

This filing contains (check all applicable boxes):**

- ☒ (a) Statement of financial condition.
- ☐ (b) Notes to consolidated statement of financial condition.
- ☒ (c) Statement of income (loss) or, if there is other comprehensive income in the period(s) presented, a statement of comprehensive income (as defined in § 210.1-02 of Regulation S-X).
- ☒ (d) Statement of cash flows.
- ☒ (e) Statement of changes in stockholders' or partners' or sole proprietor's equity.
- ☒ (f) Statement of changes in liabilities subordinated to claims of creditors.
- ☒ (g) Notes to consolidated financial statements.
- ☒ (h) Computation of net capital under 17 CFR 240.15c3-1 or 17 CFR 240.18a-1, as applicable.
- ☐ (i) Computation of tangible net worth under 17 CFR 240.18a-2.
- ☒ (j) Computation for determination of customer reserve requirements pursuant to Exhibit A to 17 CFR 240.15c3-3.
- ☐ (k) Computation for determination of security-based swap reserve requirements pursuant to Exhibit B to 17 CFR 240.15c3-3 or Exhibit A to 17 CFR 240.18a-4, as applicable.
- ☐ (l) Computation for Determination of PAB Requirements under Exhibit A to § 240.15c3-3.
- ☒ (m) Information relating to possession or control requirements for customers under 17 CFR 240.15c3-3.
- ☐ (n) Information relating to possession or control requirements for security-based swap customers under 17 CFR 240.15c3-3(p)(2) or 17 CFR 240.18a-4, as applicable.
- ☐ (o) Reconciliations, including appropriate explanations, of the FOCUS Report with computation of net capital or tangible net worth under 17 CFR 240.15c3-1, 17 CFR 240.18a-1, or 17 CFR 240.18a-2, as applicable, and the reserve requirements under 17 CFR 240.15c3-3 or 17 CFR 240.18a-4, as applicable, if material differences exist, or a statement that no material differences exist.
- ☐ (p) Summary of financial data for subsidiaries not consolidated in the statement of financial condition.
- ☒ (q) Oath or affirmation in accordance with 17 CFR 240.17a-5, 17 CFR 240.17a-12, or 17 CFR 240.18a-7, as applicable.
- ☐ (r) Compliance report in accordance with 17 CFR 240.17a-5 or 17 CFR 240.18a-7, as applicable.
- ☒ (s) Exemption report in accordance with 17 CFR 240.17a-5 or 17 CFR 240.18a-7, as applicable.
- ☐ (t) Independent public accountant's report based on an examination of the statement of financial condition.
- ☒ (u) Independent public accountant's report based on an examination of the financial report or financial statements under 17 CFR 240.17a-5, 17 CFR 240.18a-7, or 17 CFR 240.17a-12, as applicable.
- ☐ (v) Independent public accountant's report based on an examination of certain statements in the compliance report under 17 CFR 240.17a-5 or 17 CFR 240.18a-7, as applicable.
- ☐ (w) Independent public accountant's report based on a review of the exemption report under 17 CFR 240.17a-5 or 17 CFR 240.18a-7, as applicable.
- ☐ (x) Supplemental reports on applying agreed-upon procedures, in accordance with 17 CFR 240.15c3-1e or 17 CFR 240.17a-12, as applicable.
- ☐ (y) Report describing any material inadequacies found to exist or found to have existed since the date of the previous audit, or a statement that no material inadequacies exist, under 17 CFR 240.17a-12(k).
- ☐ (z) Other: _____

***To request confidential treatment of certain portions of this filing, see 17 CFR 240.17a-5(e)(3) or 17 CFR 240.18a-7(d)(2), as applicable.*



Report of Independent Registered Public Accounting Firm

To the Board of Directors and Member of InspereX LLC:

Opinion on the Financial Statements

We have audited the accompanying statement of financial condition of InspereX LLC (formerly known as Incapital LLC) (the "Company") as of December 31, 2021, and the related statement of operations, statement of changes in member's equity, statement of cash flows, and statement of changes in subordinated liabilities for the year then ended, including the related notes (collectively referred to as the "financial statements"). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2021, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audit. We are a public accounting firm registered with the Public Company Accounting Oversight Board (United States) (PCAOB) and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit of these financial statements in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud.

Our audit included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audit also included evaluating the accounting principles used and significant estimates made by management, as well as, evaluating the overall presentation of the financial statements. We believe that our audit provides a reasonable basis for our opinion.

Supplemental Information

The accompanying computation of net capital pursuant to Rule 15c3-1 under the Securities Exchange Act of 1934 and the computation for determination of reserve requirements for broker-dealers and information relating to possession or control pursuant to Rule 15c3-3 under the Securities Exchange Act of 1934 have been subjected to audit procedures performed in conjunction with the audit of the Company's financial statements. The supplemental information is the responsibility of the Company's management. Our audit procedures included determining whether the supplemental information reconciles to the financial statements or the underlying accounting and other records, as applicable, and performing



procedures to test the completeness and accuracy of the information presented in the supplemental information. In forming our opinion on the supplemental information, we evaluated whether the supplemental information, including its form and content, is presented in conformity with Rule 17a-5 under the Securities Exchange Act of 1934. In our opinion, the computation of net capital for brokers and dealers pursuant to Rule 15c3-1 under the Securities Exchange Act of 1934 and the computation for determination of reserve requirements for broker-dealers and information relating to possession or control pursuant to Rule 15c3-3 under the Securities Exchange Act of 1934 is fairly stated, in all material respects, in relation to the financial statements as a whole.

PricewaterhouseCoopers LLP

Chicago, Illinois
February 28, 2022

We have served as the Company's auditor since 2011.

INSPEREX LLC

STATEMENT OF FINANCIAL CONDITION
AS OF DECEMBER 31, 2021

ASSETS

Cash	$ 934,684
Securities owned — at fair value	74,615,107
Securities purchased under agreements to resell	23,010,106
Operating lease right of use assets	9,202,522
Receivable from broker dealers	2,994,749
Receivable from Affiliate	4,000
Interest and dividends receivable	1,514,852
Other assets	1,736,330
Total assets	$ 114,012,350

LIABILITIES AND MEMBER'S EQUITY

LIABILITIES:	
Payable to Parent	$ 1,072,531
Payable to broker dealers	8,604,127
Payable to Affiliate	969,186
Securities sold, not yet purchased — at fair value	31,843,107
Securities sold under agreements to repurchase	22,324,655
Operating lease liabilities	9,963,170
Accounts payable and accrued expenses	12,348,857
Total liabilities	87,125,633
MEMBER'S EQUITY	26,886,717
Total liabilities and member's equity	$ 114,012,350

The accompanying notes are an integral part of these financial statements.

INSPEREX LLC

STATEMENT OF OPERATIONS
FOR THE YEAR ENDED DECEMBER 31, 2021

REVENUES:		
Syndicate and management fees	$	56,577,148
Trading revenue		28,622,635
Interest and dividends income		2,410,829
Other income		624,412
Total revenues		88,235,024
EXPENSES:		
Compensation and benefits		59,842,888
Management and licensing fees to Parent and Affiliate		11,535,967
General and administrative		9,360,376
Clearing and other trading fees		2,907,729
Legal and consulting fees		368,498
Interest expense		1,284,044
Other expense		1,164,002
Total expenses		86,463,504
Net income	$	1,771,520

The accompanying notes are an integral part of these financial statements.

INSPEREX LLC

STATEMENT OF CHANGES IN MEMBER'S EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2021

Balance — January 1, 2021	$ 20,349,069
Capital contribution in kind of net assets of 280 Securities LLC	4,766,128
Net income (loss)	1,771,520
Balance — December 31, 2021	$ 26,886,717

The accompanying notes are an integral part of these financial statements.

INSPEREX LLC

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2021

CASH FLOWS FROM OPERATING ACTIVITIES:		
Net Income (loss)	$	1,771,520
Adjustments to reconcile net income to net cash used by operating activities		
Securities owned — at fair value		34,837,267
Securities purchased under agreements to resell, net		(11,828,131)
Receivable from broker dealers		(1,102,252)
Receivable from Parent		3,691,941
Receivable from Affiliate		(2,000)
Operating lease right of use assets		(5,099,150)
Interest and dividends receivable		(623,943)
Other assets		(702,200)
Payable to Parent		34,453
Payable to Affiliate		969,186
Payable to broker dealers		(29,454,591)
Securities sold, not yet purchased — at fair value		6,368,122
Operating lease liabilities		5,312,192
Accounts payable and accrued expenses		4,243,499
Net cash provided by operating activities		8,415,913
CASH FLOWS FROM FINANCING ACTIVITIES:		
Cash assumed in 280 Securities LLC merger		185,400
PPP loan		2,637,860
Repayment of PPP loan		(2,637,860)
Repayment of subordinated loan		(1,000,000)
Securities sold under agreements to repurchase, net		(7,176,595)
Net cash used by financing activities		(7,991,195)
Net increase in cash		424,718
Cash — Beginning of year		509,966
Cash — End of year	$	934,684
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION — Cash paid for interest	$	1,110,672
Non-cash operating activities		
SDN - Return of Collateral	$	5,000,000

The accompanying notes are an integral part of these financial statements.

INSPEREX LLC

STATEMENT OF CHANGES IN SUBORDINATED LIABILITIES
FOR THE YEAR ENDED DECEMBER 31, 2021

Subordinated Borrowings at January 1, 2021	$ -
Increases:	
Secured demand and subordinated notes payable assumed in 280 Securities LLC merger	6,000,000
Decreases:	
Settlement of secured demand and subordinated notes payable	(6,000,000)
Subordinated Borrowings at December 31, 2021	$ -

The accompanying notes are an integral part of these financial statements.

1. ORGANIZATION AND NATURE OF BUSINESS

InspereX LLC (the "Company"), formerly known as Incapital LLC, an Illinois limited liability company, is a broker-dealer registered with the Securities and Exchange Commission ("SEC") and is a member of the Financial Industry Regulatory Authority, Inc. ("FINRA"). The Company engages in the underwriting and trading of debt and preferred equity securities.

The Company is a wholly owned subsidiary of InspereX Holdings LLC (the "Parent"), formerly known as Incapital Holdings LLC.

2. BUSINESS MERGER

280 Securities LLC, a wholly owned subsidiary of the Parent, engaged primarily in the underwriting and trading of fixed income securities, merged into the Company on July 1, 2021, upon FINRA approval. The net assets which were contributed by the Parent to the Company totaled $4,766,128 and were comprised of the following assets and liabilities:

Assets

Cash	$ 185,400
Securities owned	18,701,666
Receivable from broker dealers	1,199,757
SDN Receivable	5,000,000
Receivable from Parent	3,691,941
Operating lease right of use assets	1,669,173
Other assets	424,544
Total assets	$ 30,872,481

Liabilities

Securities sold, not yet purchased	$ 3,294,267
Payable to broker dealers	14,593,798
Secured demand note	5,000,000
Subordinated loan	1,000,000
Operating lease liabilities	1,759,078
Accounts payable and accrued expenses	459,210
Total liabilities	$ 26,106,353

In accordance with guidance on accounting for transactions between entities under common control, the Company has presented the revenues and expenses of 280 Securities LLC for the period commencing March 1, 2021, which represents the inception date of common control between the Company and 280 Securities LLC.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Use of Estimates — The preparation of the financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Securities Owned and Securities Sold, Not Yet Purchased — Securities owned and securities sold, not yet purchased, consist of securities underwritten by the Company or purchased in the secondary market. They are reported in the Statement of Financial Condition at fair value based on quoted market prices, prices for similar securities, or prices based on models using observable inputs. Pricing inputs include US Treasury rates, credit spreads, and observable trades from both the Trade Reporting and Compliance Engine developed by FINRA and dealers.

Derivative Financial Instruments — Derivative financial instruments ("Derivatives") used for trading purposes, including economic hedges of trading instruments, are carried at fair value. Fair values for exchange-traded derivatives, principally futures, are based on quoted market prices.

Realized gains or losses on Derivatives are recognized in the Statement of Operations with trading revenues. Fair values of exchange-traded futures are recorded in payable to broker dealers on the Statement of Financial Condition.

Cash — Cash includes cash on hand. As of December 31, 2021, the Company had cash accounts which exceeded federally insured limits and are therefore not subject to FDIC insurance.

Risks — Credit risk represents the potential financial loss that the Company would incur if a counterparty fails to meet its contractual obligation. The Company is engaged in various trading and brokerage activities with other financial institutions. The risk of default depends on the creditworthiness of the counterparty or issuer of the financial instrument. The Company periodically reviews the credit standing of each counterparty.

The current coronavirus (COVID-19) pandemic and the ongoing response of the U.S. government and various state, local, and foreign governments have adversely affected global business activities and have resulted in significant uncertainty in the global economy and volatility in financial markets. Given the significant global health, market, employment and economic impacts of COVID-19 and the uncertainty of its duration, the Company cannot reliably predict the total impact of COVID-19 on financial markets or its financial results. The Company has several ongoing measures to support the health and well-being of its customers and employees, as well as measures to optimize firm resources and control costs. The ongoing measures include, among other things, the technological support for all employees to work remotely as needed.

Resale and Repurchase Agreements — Transactions involving purchases of securities under agreements to resell (reverse repurchase agreements or reverse repos) or sales of securities under agreements to repurchase (repurchase agreements or repos) are accounted for as collateralized financings. It is the policy of the Company to obtain possession of collateral with a fair value approximately equal to or in excess of the principal amount loaned under reverse repurchase agreements. Collateral is valued daily, and the Company may require counterparties to deposit additional collateral or return collateral pledged when appropriate. The Company may also be required by counterparties to deposit additional collateral on a daily basis on sales of securities under agreements to repurchase.

Revenue Recognition — The Company underwrites securities for business entities and governmental entities that want to raise funds through the sale of securities. Revenues are earned from fees arising from securities offerings in which the Company acts as an underwriter. The Company underwrites securities on a best efforts

basis and firm commitment basis. Revenues from best efforts and firm commitment underwriting transactions are recorded when each offering closes and are included in syndicate and management fees in the accompanying Statement of Operations. The Company believes that the closing date is the appropriate point in time to recognize revenue for securities underwriting transactions as there are no significant actions which the Company needs to take subsequent to this date and the issuer obtains the control and benefit of the capital markets offering at this point. Underwriting costs that are deferred, if any, under the guidance in FASB ASC 940-340-25-3 are recognized in expense at the time the related revenues are recorded. $1,766,699 of syndicate and management fees were unpaid at year-end and are included in receivable from broker dealers on the Statement of Financial Condition.

Securities transactions revenues, which are reflected as trading revenue in the Statement of Operations, and the related expenses, are recognized on a trade date basis. Interest income is directly tied to the inventory related to trading revenue and is recognized on a trade date basis. Dividend income is recognized on an ex-dividend date basis.

Other income, which is reflected in the Statement of Operations, is assessed on an individual contract basis to determine performance obligations related to each contract. Revenue related to each contract is recognized once all performance obligations are complete.

Income Taxes — The Company is treated as a partnership for U.S. tax purposes. ASC No. 740, *Income Taxes*, requires the Company to determine whether a tax position has a greater than fifty percent likelihood of being realized upon settlement with the applicable taxing authority, which could result in the Company recording a tax liability that would reduce net income. The Company does not have any significant uncertain tax positions as of December 31, 2021 and is not aware of any tax positions that will significantly change during the next twelve months. The tax information for the years ending December 31, 2018 through December 31, 2021 remain open to examination by federal authorities under the statute of limitations. The years open to examination by state and other local government authorities vary by jurisdiction, but the statute of limitations is generally three to four years from the date the tax return is filed.

4. LEASES

The Company has several operating leases for office space and office equipment. The Company determines if an operating lease exists at the inception of a contract and when the terms of an existing contract are modified. Leases with an initial term of 12 months or less are not recorded on the Statement of Financial Condition. All other operating leases are recorded on the Statement of Financial Condition, with right of use assets representing the right to use the underlying asset for the lease term and lease liabilities representing the obligation to make lease payments. The lease liability and right of use asset are initially recognized on the commencement date. The lease liability is based on the net present value of the future lease payments. Net present value is calculated using the Company's incremental borrowing rate. The right-of-use asset is based on the lease liability and any deferred rent balances accumulated prior to the commencement date. The lease liability and right of use asset will subsequently be remeasured when an existing contract is modified, or any impairment is recognized. Lease expenses are recognized on a straight-line basis over the lease term.

The weighted-average remaining lease term was 8 years as of December 31, 2021, and the weighted-average discount rate was 3.7%.

The following table illustrates the maturities of lease liabilities related to operating leases:

Maturities of Lease Liabilities for the Years Ending December 31

2022	$ 1,609,719
2023	1,574,076
2024	1,621,294
2025	1,271,959
2026	1,098,252
Thereafter	4,356,581
Total undiscounted lease payments	$ 11,531,881
Less: Imputed interest	(1,568,711)
Total lease liabilities	$ 9,963,170

The right of use asset is considered to be a non-allowable asset and the lease liability is considered to be aggregate indebtedness when calculating net capital. However, the right of use asset can be deducted from total non-allowable assets up to the amount of the corresponding lease liability per FINRA Regulatory Notice 19-08.

5. FAIR VALUE MEASUREMENTS

Securities owned and securities sold, not yet purchased, as of December 31, 2021, are as follows:

	Owned		Sold, Not Yet Purchased
Level 1			
Preferred equity securities	$ 4,781,510		$ 14,618,288
Futures contracts	-	*	5,555
Total Level 1	4,781,510		14,623,843
Level 2			
Corporate debt securities	2,891,467		940,466
U.S. Treasuries	-		16,284,353
Agency securities	52,722,881		-
Mortgage backed securities	8,901,361		-
Municipal Securities	5,135,465		-
Brokered certificates of deposit	182,423		-
Total Level 2	69,833,597		17,224,819
Level 3	-		-
Total	$ 74,615,107		$ 31,848,662

*Included in payable to broker dealers on the Statement of Financial Condition.

The Company held no Level 3 securities during the year ended December 31, 2021. There were no transfers between the fair value hierarchy levels during the year ended December 31, 2021.

ASC 820-10, *Fair Value Measurements and Disclosures* which defines fair value, establishes a framework for measuring fair value, and expands disclosures about fair value measurements. ASC 820-10 applies to reported balances that are required or permitted to be measured at fair value under existing accounting pronouncements. Fair value is a market-based measurement, not an entity-specific measurement. Therefore, a fair value measurement should be determined based on the assumptions that market participants would use in pricing the asset or liability. As a basis for considering market participant assumptions in fair value measurements, ASC 820-10 establishes a fair value hierarchy. The three levels of the fair value hierarchy are described below:

- *Level 1* — Quoted prices in active markets for identical securities.
- *Level 2* — Other significant observable inputs other than quoted prices in active markets (including quoted prices for similar securities, interest rates, prepayment speeds, credit risk, etc.).
- *Level 3* — Significant unobservable inputs (including the Company's own assumptions in determining the fair value of investments).

The following is a description of the valuation methodologies used for securities measured at fair value, based on the Statement of Financial Condition classification.

The inputs or methodology used for valuing securities are not necessarily an indication of the risk associated with investing in those securities. A summary of the inputs used to value the Company's security positions as of December 31, 2021 were as follows:

- *Preferred equity securities and futures* — Based on quoted market prices in active markets.
- *Corporate debt, U.S. Treasuries and Agency securities* — Based on quoted market prices, prices for similar securities, or prices based on models using observable inputs. Pricing inputs include US Treasury rates, credit spreads, and observable trades from both the Trade Reporting and Compliance Engine developed by FINRA and dealers.
- *Mortgage backed securities* — Based on quoted market prices, prices for similar securities, or prices based on models using observable inputs. Pricing inputs include U.S. Treasury rates, To-Be-Announced mortgage pool prices, credit spreads, and prepayment forecasts.
- *Municipal securities* — Based on quoted market prices based on bid and ask prices, observable trades, or quoted market prices based on bid and ask prices for securities of comparable quality, maturity, and interest rate.
- *Brokered certificates of deposit* — Based on quoted market prices, prices for similar securities, or prices based on models using observable inputs. Pricing inputs include U.S. Treasury rates, and credit spreads.

6. MANAGEMENT AND LICENSING FEES

The Company has entered into a management agreement (the "Agreement") with the Parent, whereby the Parent provides the Company with administrative services and office facilities in exchange for a management fee determined in accordance with the terms of the Agreement. The management fees for the year ended December

31, 2021 aggregated $5,972,985, of which $1,072,531 was unpaid at year-end and is included in payable to parent on the Statement of Financial Condition.

The Company has entered into a management agreement (the "Affiliate Agreement") with an affiliate company, whereby the affiliate is a wholly owned subsidiary of the Parent. The Company provides the affiliate with administrative and management services in exchange for a management fee determined in accordance with the terms of the Affiliate Agreement. The management fees for the year ended December 31, 2021 aggregated $34,000, which are included in other income on the Statement of Operations, of which $4,000 was unpaid at year-end and is included in receivable from affiliate on the Statement of Financial Condition.

The Company has entered into a management and licensing agreement (the "Affiliate Agreement") with an affiliate company, whereby the affiliate is a wholly owned subsidiary of the Parent. The affiliate provides the Company with Technology services. These services include general technology support along with a license fee, which provides access to the firm's proprietary trading and sales platforms. These services are provided in exchange for a management and license fee determined in accordance with the terms of the Affiliate Agreement. The management and licensing fees for the year ended December 31, 2021 aggregated $5,562,982, which are included in Management and licensing fees to Parent and Affiliate on the Statement of Operations, of which $969,186 was unpaid at year-end and is included in Payable to Affiliate on the Statement of Financial Condition.

7. OFF-BALANCE SHEET RISK

The Company enters into various transactions involving derivatives and other off-balance sheet financial instruments. These financial instruments include futures, which are used to manage market risks. Market risk is substantially dependent upon the value of the underlying financial instruments and is affected by market forces such as volatility and changes in interest rates. Derivative transactions are entered into in an attempt to hedge other positions or transactions.

Futures contracts provide for the delayed delivery or purchase of securities at a specified future date at a specified price or yield. Futures contracts are executed on an exchange. The credit risk of exchange-traded financial instruments is reduced by the regulatory requirements of the individual exchanges. Cash settlement on futures contracts is made on a daily basis for market movements. The clearing organization acts as the counterparty to specific transactions and bears the risk of delivery to and from counterparties to specific positions. During the year ended December 31, 2021, the Company had an average monthly notional amount of $33,492,000 of derivative contracts outstanding. At December 31, 2021, the Company had a notional amount of $4,500,000 outstanding in derivative contracts, composed of 44 long interest rate futures contracts and 1 short interest rate futures contracts, which had one day of variation margin not settled of $5,555 and is included in payable to broker dealers on the Statement of Financial Condition. The net realized gains and losses on the derivative contracts for the year ended December 31, 2021, were $44,001, which is included in trading revenue in the Statement of Operations. Futures are recorded at fair value, which represents the difference between the contract price at the trade date and the closing price on the valuation date as reported on the exchange on which the futures contracts are traded. Futures contracts are classified as Level 1 within the fair value hierarchy.

The Company has sold securities that it does not currently own and is, therefore, obligated to purchase such securities at a future date. The Company has recorded these obligations in the Statement of Financial Condition at December 31, 2021 at the fair values of the related securities and will incur a loss if the fair value of the securities increases subsequent to December 31, 2021. Substantially all of the Company's securities owned, at fair value at December 31, 2021 have been pledged as margin with the Company's clearing broker dealer.

The Company finances a significant portion of its securities transactions. Financing risks include the exposure the Company has to margin requirements in place with clearing brokers and counterparties, and the risk that

ongoing financing arrangements may not be available in the future at rates which are desirable to the Company. Changes in margin requirements, including the related changes in fair value of investments, may result in the Company having to pledge additional margin or to sell securities to meet required margin. These activities may take place when market conditions are not optimal and may result in a realized loss on securities transactions and additional margin requirements with clearing brokers and counterparties.

8. REGULATORY REQUIREMENTS

The Company, as a registered broker-dealer, is subject to the Uniform Net Capital Rule ("Rule 15c3-1") under the Securities Exchange Act of 1934 and computes its net capital requirements under the basic method, which requires that the Company maintain minimum net capital equivalent to the greater of $100,000 or 6-2/3% of aggregate indebtedness, as these terms are defined.

At December 31, 2021, the Company had net capital, as defined, of $18,238,247, which was $17,243,132 in excess of its required net capital of $995,115. The Company's ratio of aggregate indebtedness to net capital was 0.82 to 1.

As an introducing broker-dealer, the Company does not take possession or control of cash or securities for customers and, therefore, claims exemption from the possession or control and reserve requirements based on Rule 15c3-3(k)(2)(ii) under the Securities Exchange Act of 1934.

9. OTHER RELATED PARTIES

The Company derives a significant portion of its revenues from the underwriting of debt instruments of corporate and agency issuers. One of the Company's corporate issuers is a unit holder of the Parent. The Company performs underwriting services for the unit holder and the unit holder's affiliates and from time-to-time may hold investments in financial instruments issued by the unit holder or the unit holder's affiliates.

As part of the business merger, the Company assumed a secured demand note and subordinated agreement with two unit holders of the Parent. Borrowings under the secured demand note and subordinated note agreements were $5,000,000 and $1,000,000 respectively. Both the secured demand note and subordinated note agreement were settled in August 2021.

The Company entered into a $10,000,000 revolving loan agreement on December 1, 2018, with its Parent with a maturity date of December 31, 2023. The loan bears interest at the three-month LIBOR rate plus 100 basis points (1.21% at December 31, 2021). All accrued interest on the loan is due July 31 of each year until maturity or until paid in full. As of and for the year ended December 31, 2021, there has been no activity and there were no amounts outstanding related to this loan agreement.

10. EMPLOYEE COMPENSATION AND BENEFITS

In April 2009, the Parent adopted the Incapital Holdings LLC Equity Incentive Plan (the "Plan"). The Plan provides the grant of equity-based awards in the form of restricted share units, options, or bonus shares of the Parent (collectively, "the Awards") to employees of the Company. The total number of shares authorized under the Plan is 1,250,000. The Plan is administered by the Parent's Compensation Committee (the "Committee"). The Committee has the authority and discretion to determine the extent and terms (including vesting) of the Awards granted, as well as those eligible to receive the Awards. The plan is classified as an equity-based plan. There were no awards granted in the current year under the Plan.

In January 2017, the Parent adopted the Incapital Holdings LLC Equity Tracking Incentive Plan (the "Tracking Plan"). The Tracking Plan provides the grant of Equity Tracking Units ("the ETU Awards") of the Parent to employees of the Company. The Tracking Plan is administered by the Equity Tracking Incentive Plan Review

Committee (the "ETI Committee") appointed by the board of the Parent but, with oversight from the Parent's Compensation Committee. The ETI Committee has the authority and discretion to determine the extent and terms (including vesting) of the ETU Awards granted, as well as those eligible to receive the ETU Awards. The Tracking Plan is classified as a liability-based plan.

Under the Tracking Plan, the Company is permitted to pay bonus compensation in equity tracking units (ETUs) of the parent. During the year ended December 31, 2017, the Parent granted 112,347 ETU Awards as bonus compensation to employees who provide services to the Company. This amount is net of forfeitures. The estimated fair value of these ETU Awards on grant date totaled approximately $1,030,244. The ETUs awarded during the year ended December 31, 2017 vest equally on each of the second, third, and fourth anniversaries of the designated grant date and are expensed ratably over the period. Compensation expense for the year ended December 31, 2021 related to these ETU Awards was $35,815 and is included in compensation and benefits on the Statement of Operations. There were no additional awards granted in the current year under the Tracking Plan.

Effective January 20, 2020, the Parent entered into a unit option award agreement, which provides for the granting of options to purchase 1,250,000 units. During the year ended December 31, 2020, the Parent granted all 1,250,000 options, which vest equally over 5 years, ending in 2025. Option terms were determined by the compensation committee of the Company's executive board. The estimated fair value of the awards totaled approximately $3,131,739 at the grant date. During the year ended December 31, 2021, the Company recognized $626,348 in stock options expense related to this agreement. The expense is included in compensation and benefits in the accompanying Statement of Operations.

Effective January 1, 2021, the Parent entered into a unit option award agreement, which provides for the granting of options to purchase 1,250,000 units. During the year ended December 31, 2021, the Parent granted 1,135,100 options, which vest over 4 years. Option terms were determined by the compensation committee of the Company's executive board. The estimated fair value of the awards totaled approximately $3,827,592 at the grant date. During the year ended December 31, 2021, the Company recognized $459,699 in stock options expense related to this agreement. The expense is included in compensation and benefits in the accompanying Statement of Operations.

11. COLLATERAL

The Company received a loan from Fifth Third Bank, National Association in the amount of $2,637,860 under the Paycheck Protection Program established by the Coronavirus Aid, Relief, and Economic Security (CARES) Act on March 21, 2021. The loan bears interest at a rate of 1% and had a maturity of 5 years from the date received. The loan was closed out in September of 2021 and included interest expense of $12,530, which is included in interest expense in the Statement of Operations. The initial proceeds and principal payment of the loan are included in the Cash Flows from Financing Activities in the Statement of Cash Flows.

Securities purchased under agreements to resell and securities sold under agreements to repurchase result from transactions with other brokers and dealers. These are accounted for as collateralized financing transactions and are recorded at the amount of cash collateral advanced or received. Securities purchased under agreements to resell transactions require the Company to deposit cash or other collateral with the lender. As of December 31, 2021, the Company advanced $23,010,106 of cash collateral with other brokers and dealers and received U.S. Treasury Securities with a market value of approximately $22,889,112 related to those transactions. Securities sold under agreement to repurchase transactions require the borrower to deposit cash or other collateral with the Company. As of December 31, 2021, the Company received $22,324,655 of cash from security borrowers and loaned securities with a market value of $24,209,906 related to those transactions. The Company monitors the market value of securities sold under agreements to repurchase and loaned on a daily basis, with additional collateral obtained or refunded as necessary.

Interest is accrued on securities purchased under agreements to resell and securities sold under agreement to repurchase and the related amounts are included in other assets or liabilities in the Statement of Financial Condition. Interest income and expense are recognized on an accrual basis and included in interest income and interest expense in the Statement of Operations.

The following tables present, as of December 31, 2021, the gross liability for securities sold under repurchase agreements disaggregated by classes of collateral pledged and by remaining contractual maturity of the agreements.

Collateral	**Repurchase Agreements**
U.S. Government Agencies	$ 22,324,655

Contractual Maturity

	Overnight and Open	**Up to 30 days**	**30-90 days**	**Greater than 90 days**	**Total**
Repurchase Agreements	$ 22,324,655	$ -	$ -	$ -	$ 22,324,655

The following table presents the gross and net repurchase agreements and futures contracts and the related offsetting amounts.

Offsetting of Financial Liabilities

	Gross amounts of recognized liabilities	**Gross amounts offset in the statement of financial condition**	**Net amounts of assets presented in the statement of financial condition**	**Gross amounts not offset in the statement of financial condition** *	**Net amount**
Repurchase agreements	$ 22,324,655	$ -	$ 22,324,655	$ 22,324,655	$ -

Offsetting of Financial Assets and Derivative Assets

	Gross amounts of recognized assets	Gross amounts offset in the statement of financial condition	Net amounts of assets presented in the statement of financial condition	Gross amounts not offset in the statement of financial condition *	Net amount
Futures contracts	$ 5,555	$ -	$ 5,555	$ -	$ 5,555
Reverse Repurchase agreements	23,010,106	-	23,010,106	22,889,112	120,994
Total	$ 23,015,661	$ -	$ 23,015,661	$ 22,889,112	$ 126,549

*The amount of collateral is limited to the total net exposure (prior to collateral) by counterparty.

12. COMMITMENTS AND CONTINGENCIES

In the normal course of business, the Company is involved in legal, regulatory and arbitration proceedings, including class actions, primarily concerning matters arising in connection with the conduct of its broker dealer activities. These include proceedings specific to the Company, as well as proceedings generally applicable to business practices in the industries in which it operates. Uncertain economic conditions, heightened and sustained volatility in the financial markets, and significant financial reform legislation may increase the likelihood that clients and other persons or regulators may present or threaten legal claims or that regulators increase the scope or frequency of examinations of the Company or the financial services industry generally.

In the normal course of business, the Company enters underwriting commitments. There were no open transactions related to these underwriting commitments as of December 31, 2021.

13. SUBSEQUENT EVENTS

The Company has evaluated subsequent events through the date the financial statements were available for issuance. No events requiring disclosure or recognition were identified.

* * * * * *

SUPPLEMENTAL SCHEDULES

INSPEREX LLC

COMPUTATION OF NET CAPITAL FOR BROKERS AND DEALERS PURSUANT TO RULE 15c3-1 UNDER THE SECURITIES EXCHANGE ACT OF 1934 AS OF DECEMBER 31, 2021

TOTAL MEMBER'S EQUITY	$ 26,886,717
DEDUCTIONS AND CHARGES:	
Haircuts on debt and equity securities	4,367,513
Haircuts on brokered certificates of deposit	3,473
Undue concentration haircuts	115,348
Futures contracts	63,300
Other deductions and charges	140,834
Nonallowable assets — receivable from broker dealers	2,217,672
Nonallowable assets — other assets	1,736,330
Nonallowable assets — receivable from affiliate	4,000
	8,648,470
NET CAPITAL	18,238,247
MINIMUM NET CAPITAL REQUIREMENT — (Greater of $100,000 or 6-2/3% of aggregate indebtedness)	995,115
NET CAPITAL IN EXCESS OF REQUIREMENT	$ 17,243,132
AGGREGATE INDEBTEDNESS:	
Payable to parent	1,072,531
Payable to affiliate	969,186
Payable to broker and dealers	37,505
Other liabilities	12,847,501
TOTAL AGGREGATE INDEBTEDNESS	$ 14,926,723
RATIO OF AGGREGATE INDEBTEDNESS TO NET CAPITAL	0.82 to 1

There are no material differences between the information presented above and the information presented in the Company's December 31, 2021 unaudited FOCUS Part II Report as amended on February 24, 2022.

INSPEREX LLC

COMPUTATION FOR DETERMINATION OF RESERVE REQUIREMENTS FOR BROKERS AND DEALERS AND INFORMATION RELATING TO POSSESSION OR CONTROL PURSUANT TO RULE 15c3-3 UNDER THE SECURITIES EXCHANGE ACT OF 1934
AS OF DECEMBER 31, 2021

The Company claims an exemption from the provisions of Securities and Exchange Commission Rule 15c3-3 under Section (k)(2)(ii) as an introducing broker or dealer who clears all transactions with and for customers on a fully disclosed basis with a clearing broker or dealer, and who promptly transmits all customer funds and securities to the clearing broker or dealer which carries all of the accounts of such customers and maintains and preserves such books and records pertaining thereto pursuant to the requirements of § 240.17a-3 and 240.17a-4 of Rule 15c3-3, and otherwise limits its business activities to participating in distributions of securities, and the Company: (1) did not directly or indirectly receive, hold, or otherwise owe funds or securities for or to customers; (2) did not carry accounts of or for customers; and (3) did not carry PAB accounts (as defined in Rule 15c3-3) throughout the year ended December 31, 2021 without exception. Because of this exemption, the Company has not included the schedule, "Information Relating to Possession or Control Requirements under Rule 15c3-3 of the Securities and Exchange Commission.

There are no material differences between the information presented above and the information presented in the Company's December 31, 2021 unaudited FOCUS Part II Report as amended on February 24, 2022.

InspereX

InspereX LLC's Exemption Report

InspereX LLC (the "Company") is a registered broker-dealer subject to Rule 17a-5 promulgated by the Securities and Exchange Commission (17 C.F.R. §240.17a-5, "Reports to be made by certain brokers and dealers"). This Exemption Report was prepared as required by 17 C.F.R. § 240.17a-5(d)(1) and (4). To the best of its knowledge and belief, the Company states the following:

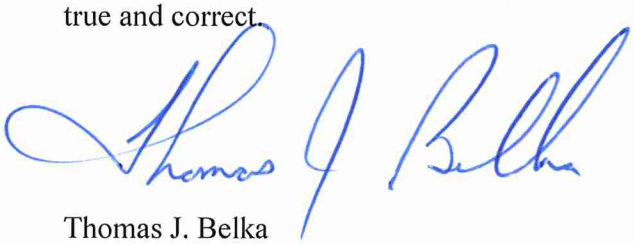
1. The Company claimed an exemption from 17 C.F.R. § 240.15c3-3 under the following provision of 17 C.F.R. §240.15c3-3 (k)(2)(ii).

2. The Company met the identified exemption provision in 17 C.F.R. §240.15c3-3 (k) throughout the year ended December 31, 2021 without exception.

3. The Company is also filing this Exemption Report because the Company's other business activities contemplated by Footnote 74 of the SEC Release No. 34-70073 adopting amendments to 17 C.F.R. § 240.17a-5 are limited to: participating in distributions of securities, and the Company: (1) did not directly or indirectly receive, hold, or otherwise owe funds or securities for or to customers; (2) did not carry accounts of or for customers; and (3) did not carry PAB accounts (as defined in Rule 15c3-3) throughout the year ended December 31, 2021 without exception.

InspereX LLC

I, Thomas J. Belka, swear (or affirm) that, to my best knowledge and belief, this Exemption Report is true and correct.



Thomas J. Belka
Chief Financial Officer
February 28, 2022



Report of Independent Registered Public Accounting Firm

To the Board of Directors and Management of InspereX LLC

We have reviewed InspereX LLC's assertions, included in the accompanying InspereX LLC's Exemption Report, in which:

(1) The Company identified 17 C.F.R. § 240.15c3-3(k)(2)(ii) as the provision under which the Company claimed an exemption from 17 C.F.R. § 240.15c3-3 (the "exemption provision").

(2) The Company stated that it met the identified exemption provision throughout the year ended December 31, 2021 without exception.

(3) The Company stated that it is also filing its Exemption Report because the Company's other business activities contemplated by Footnote 74 of the SEC Release No. 34-70073 adopting amendments to 17 C.F.R. § 240.17a-5 are limited to: participating in distributions of securities, and the Company: (1) did not directly or indirectly receive, hold, or otherwise owe funds or securities for or to customers; (2) did not carry accounts of or for customers; and (3) did not carry PAB accounts (as defined in Rule 15c3-3) throughout the year ended December 31, 2021 without exception.

The Company's management is responsible for the assertions and for compliance with the identified exemption provision and the provisions of Footnote 74 of the SEC Release No. 34-70073 adopting amendments to 17 C.F.R. § 240.17a-5 throughout the year ended December 31, 2021.

Our review was conducted in accordance with the standards of the Public Company Accounting Oversight Board (United States) and, accordingly, included inquiries and other required procedures to obtain evidence about the Company's compliance with the exemption provision and the provisions of Footnote 74 of the SEC Release No. 34-70073 adopting amendments to 17 C.F.R. § 240.17a-5. A review is substantially less in scope than an examination, the objective of which is the expression of an opinion on management's assertions. Accordingly, we do not express such an opinion.

Based on our review, we are not aware of any material modifications that should be made to management's assertions referred to above for them to be fairly stated, in all material respects, based on the provisions set forth in paragraph (k)(2)(ii) of 17 C.F.R. § 240.15c3-3 and the provisions of Footnote 74 of the SEC Release No. 34-70073 adopting amendments to 17 C.F.R. § 240.17a-5.

PricewaterhouseCoopers LLP

Chicago, Illinois
February 28, 2022